

Wolaita Sodo University
College of Business and Economics
Department of Accounting and Finance
The 2nd Round Mock Exam for Accounting and Finance Regular Students

Date: January, 2025
Maximum Weight: 100%

Total Number of Questions: 100
Time Allowed: 3:00 Hours

Multiple Choice Questions:

Instruction: Choose the Best Answer from the given Alternatives. (1 point each)

1. Which of the following best describes the matching principle?
- A. Revenues should be recognized when earned, regardless of when cash is received.
 - B. Expenses should be recorded only when cash is paid.
 - C. Revenues and expenses should be recorded in the same period.
 - D. Assets should be matched with liabilities on the balance sheet.

Answer: C

2. In a periodic inventory system, how is cost of goods sold determined?
- A. By counting inventory at the end of the period
 - B. By tracking inventory purchases throughout the period
 - C. By estimating based on sales
 - D. By averaging costs of goods available for sale

Answer: A

3. What is the effect of an adjusting entry for accrued expenses?
- A. Decreases liabilities and increases expenses
 - B. Increases assets and increases revenue
 - C. Increases liabilities and increases expenses
 - D. Decreases revenue and decreases expenses

Answer: C

4. When preparing bank reconciliation, which of the following items would be added to the bank statement balance?
- A. Outstanding checks
 - B. Deposits in transit
 - C. Bank service charges
 - D. NSF checks

Answer: B

5. What is the primary advantage of using the FIFO method?
- A. Lower taxes during inflation
 - B. More accurate matching of current costs with revenues
 - C. Simplicity in record-keeping
 - D. Better cash flow management

Answer: B

6. Which of the following is an example of a consignment arrangement?
- A. A retailer purchases goods and takes ownership.
 - B. A manufacturer sends goods to a retailer but retains ownership until sold.

- C. A wholesaler sells goods to a retailer at a discount.
- D. A company leases equipment from another firm.

Answer: B

7. In which situation would the specific identification method be most appropriate?
- A. A bakery selling bread
 - B. A dealership selling cars
 - C. A grocery store selling canned goods
 - D. A clothing retailer selling similar item

Answer: B

8. What is the accounting treatment for losses incurred by a partnership?
- A. They are absorbed by the partners based on the profit-sharing ratio
 - B. They are recorded as liabilities
 - C. They are ignored
 - D. They are used to offset future income

Answer: A

9. Which of the following is NOT a characteristic of a partnership?
- A. Shared profits
 - B. Unlimited liability for at least one partner
 - C. Separate legal entity from its owners
 - D. Mutual agency

Answer: C

10. What is the effect of depreciation on the financial statements?
- A. Decreases assets and increases liabilities
 - B. Decreases assets and decreases equity
 - C. Increases assets and increases equity
 - D. Increases liabilities and decreases equity

Answer: B

11. Which of the following is true about the straight-line method of depreciation?
- A. It accelerates depreciation expense in the early years.
 - B. It results in consistent expense amounts over the asset's life.
 - C. It considers the asset's productivity.
 - D. It is only applicable to intangible assets.

Answer: B

12. Which one of the following attributes about private goods is true?
- A. Private goods cannot be provided through the market system.
 - B. In private goods, there is no-rivalry in consumption.
 - C. The market mechanism is well suited for the provision of private goods.
 - D. The application of exclusion would thus be undesirable in private goods.

Answer D

13. The ability of the suppliers to prohibit those who want to consume a commodity or service but do not want/not able to pay the market price is;
- A. Exclusion
 - B. Externalities
 - C. Fiscal policy
 - D. Decentralization

Answer A

14. The production or consumption of some goods may result in adverse effects to those who are not involved in it is termed as;
- A. Positive externalities
 - B. Negative externalities

C. Spillover effect

D. Neighborhood effects

Answer B

15. Which one of the following are not the essential characteristics of tax?

- A. It is an enforced contribution.
- B. It is levied by the state beyond its jurisdictions.
- C. It is proportionate in character.
- D. It is levied for public purpose.

Answer B

16. _____ occurs when the burden of tax is transferred from the consumer to producers or manufacturer.

- A. Shifting
- B. Forward shifting
- C. Backward shifting
- D. Onward shifting

Answer C

17. The practice by tax payers through illegal means to defeat or lessen the amount for tax is termed as;

- A. Tax evasion
- B. Tax shifting
- C. Tax incidence
- D. Tax avoidance

Answer A

18. Federal categorical grant program to local governments is intended primarily:

- A. To take advantage of the low collection costs of federal taxes in comparison with the collection cost of state taxes.
- B. To redistribute fiscal affluence from high capacity states to low capacity states.
- C. To provide additional support to well-established state programs.
- D. To induce state governments to behave in a fashion other than the way they would have behaved without the aid.

Answer B

19. Which of the following statements regarding budgetary accounting is true?

- A. When the budget is recorded, estimated revenues are debited.
- B. Budgetary accounts are never closed.
- C. Encumbrance is another term for appropriation.
- D. Budgeted revenues can be classified by source or character class.

Answer A

20. The encumbrance account of a governmental unit is debited when:

- A. The budget is recorded
- B. A purchase order is approved
- C. Goods are received
- D. A voucher payable is recorded

Answer B

21. Charges for services are a major source of revenue for:

- A. A debt service fund
- B. A trust fund
- C. An enterprise fund
- D. A capital projects fund

Answer C

22. What is the correct sequence in the expenditure process in governmental accounting?

- A. Appropriation, Encumbrance, Expenditure, and Disbursement.
- B. Encumbrance, Expenditure, Disbursement, and Appropriation.
- C. Expenditure, Encumbrance, Disbursement, and Appropriation.
- D. Appropriation, Expenditure, Encumbrance, and Disbursement.

Answer A

23. Which of the following funds provides goods and services only to other departments or agencies of the government on a cost-reimbursement basis?

- A. Internal service funds
- B. Enterprise funds
- C. Special revenue funds
- D. The general fund

Answer A

24. Under the modified accrual basis of accounting, revenue should be recognized when it is:

- A. Measurable and earned.
- B. Received in cash.
- C. Available and earned.
- D. Measurable and available.

Answer D

25. Which of the following funds should use the accrual basis of accounting?

- A. Enterprise and private-purpose trust funds.
- B. Permanent funds and internal service funds.
- C. Debt service and agency funds.
- D. Special revenue and capital projects funds.

Answer A

26. The capital projects fund of a governmental entity is accounted for using which of the following bases of accounting?

- A. Budgetary basis.
- B. Cash basis.
- C. Modified accrual basis.
- D. Accrual basis.

Answer C

27. The general fund of Chalachew had the following operating budget for the fiscal year beginning July 1, 2008

Estimated Revenue	Birr 5, 100,000
Appropriations	Birr 4, 200, 000
Budgeted transfer in from DSF	Birr 200,000
Budgeted transfer out to CPF	Birr 500,000

When the general fund records its operating budget on July 1, 2008, Budgetary Fund Balance-Unreserved should be

- A. Credited for Br 600,000.
- B. Debited for Br 900,000.

- C. Debited for Br 600,000.
- D. Credited for Br. 900,000.

Answer A

28. Which of the following statements is correct regarding profit maximization as the primary goal of the firm?

- A. Profit maximization considers the firm's risk level
- B. Profit maximization will not lead to increasing short-term profits at the expense of lowering expected future profits.
- C. Profit maximization does consider the impact on individual shareholder's EPS.
- D. Profit maximization is concerned more with maximizing net income than the stock price.

Answer D

29. Which of the following concepts is incorrect?

- A. An ordinary annuity has payments at the end of each year.
- B. An annuity due has payments at the beginning of each year.
- C. A perpetuity is considered a perpetual annuity.
- D. An ordinary annuity has a greater PV than an annuity due, if they both have the same periodic payments, discount rate and time period.

Answer D

30. When the current ratio is equal to 2:5 and the amount of current liabilities is \$25,000 the amount of current assets is

- A. \$20,000
- B. \$62,500
- C. \$10,000
- D. \$50, 000

Answer C

31. When net sales for the year are \$250, 000 and account receivable is \$ 50, 000, what is the average collection period in days?

- A. 73 days
- B. 365 days
- C. 83 days
- D. 5 day

Answer A

32. If a firm has a higher asset turnover ratio than the industry average, it implies that

- A. The firm is more likely to avoid insolvency in the short run than other firms in the industry.
- B. The firm is utilizing assets more efficiently than other firms in the industry.
- C. The firm has higher spending on new fixed assets than other firms in the industry
- D. The firm is more profitable than other firms in the industry

Answer B

33. When a capital budgeting project generates a positive net present value, this means that the project earns a return higher than the

- A. Internal rate of return.
- B. Annual rate of return.
- C. Required rate of return.
- D. Present value index

Answer C

34. Your bank account pays a 6% stated annual interest rate. If the interest is compounded quarterly, which of the following statements is correct?
- A. The quarterly interest rate is 1.5% and the effective annual interest rate is 3%.
 - B. The quarterly interest rate is 6% and the effective annual interest rate is greater than 6%.
 - C. The quarterly interest rate is 1.5% and the effective annual interest rate is greater than 6%.
 - D. The quarterly interest rate is 3% and the effective annual interest rate is 6%.

Answer C

35. The percentage change in the net operating income resulting from a percentage change in the sales is known as
- A. Degree of combined leverage
 - B. Degree of financial leverage
 - C. Degree of working leverage
 - D. Degree of operating leverage

Answer D

36. The ability of an entity to use fixed financial charges to magnify the effects of changes in operating income on the earning per share is known as
- A. Composite leverage
 - B. Operating leverage
 - C. Financial leverage
 - D. Working capital leverage

Answer C

37. The conflict of interest between stockholders and management is known as:
- A. Agency problem
 - B. Interest conflict
 - C. Management conflict
 - D. Agency cost

Answer A

38. Which of the following is a primary function of financial institutions?
- A. To provide insurance
 - B. To facilitate the transfer of funds
 - C. To regulate monetary policy
 - D. To issue currency

Answer: B

39. What is the primary role of central banks in a financial system?
- A. To lend directly to consumers
 - B. To provide investment advice
 - C. To manage the nation's monetary policy
 - D. To insure deposits

Answer: C

40. In the context of financial markets, what does liquidity refer to?
- A. The ability to convert assets into cash quickly
 - B. The availability of funds in the market
 - C. The risk associated with asset values
 - D. The return on investment

Answer: A

41. Which of the following is a characteristic of a money market instrument?
- A. Long-term maturity
 - B. High liquidity
 - C. High risk
 - D. Issued by corporations only

Answer: B

42. What does the term 'spread' refer to in financial markets?
- A. The difference between the highest and lowest prices

- B. The difference between buying and selling prices
- C. The interest rate on bonds
- D. The total value of traded securities

Answer: B

43. What is a common measure of a bank's profitability?

- A. Debt-to-equity ratio
- B. Return on assets (ROA)
- C. Current ratio
- D. Quick ratio

Answer: B

44. Which type of financial institution primarily provides loans to individuals and businesses?

- A. Investment banks
- B. Commercial banks
- C. Credit unions
- D. Insurance companies

Answer: B

45. What is the main purpose of an initial public offering (IPO)?

- A. To repay existing debt
- B. To raise capital by selling shares to the public
- C. To acquire another company
- D. To establish a private equity fund

Answer: B

46. What is the primary function of investment banks?

- A. To accept deposits from the public
- B. To underwrite and issue new securities
- C. To provide personal loans
- D. To manage retail banking operations

Answer: B

47. Which of the following describes a derivative?

- A. A financial asset that derives its value from another asset
- B. A direct investment in real estate
- C. A type of mutual fund
- D. A long-term equity investment

Answer: A

48. Which of the following best describes the capital market?

- A. A market for short-term debt instruments
- B. A market for long-term securities
- C. A market for commodities
- D. A market for foreign exchange

Answer: B

49. What is the primary goal of financial regulation?

- A. To maximize profits for financial institutions
- B. To protect investors and maintain market integrity
- C. To increase competition among banks
- D. To minimize taxation on financial transactions

Answer: B

50. What does a high debt-to-equity ratio indicate about a company?

- A. It has low financial risk
- B. It is highly leveraged
- C. It is profitable
- D. It has a strong cash flow

Answer: B

51. Damota corp. establishes a branch in nearby town. Transfers to the branch include cash Birr 65,000; office supplies Birr 2,000 and Furniture Birr 23,000. The entry to record this transfer on the books of the branch would include
- A. A debit of Birr 90,000 to the Home office account
 - B. A credit of Birr 90,000 to the investment in branch account
 - C. A credit of Birr 90,000 to the Home office account
 - D. A debit of Birr 90,000 to the investment in branch account

Answer C

52. If the branch pays the freight cost on merchandise shipments from the home office
- A. The home office will increase its investment in branch account
 - B. The branch will decrease its home office account
 - C. The home will decrease its investment in branch account
 - D. There is no effect on either the investment in branch or home office accounts

Answer D

53. Inventory is typically transferred to the branch at all of the following transfer prices except
- A. Cost to the home office
 - B. Cost plus an internal markup percentage
 - C. Cost less an internal markup percentage
 - D. Retail or market value

Answer C

54. Ajora Corp. paid \$2,500,000 for the net assets of Soke Corp. and Soke was then dissolved. Soke had no liabilities. The fair values of Soke's assets were \$3,750,000. Soke's only non-current assets were land and buildings with book values of \$100,000 and \$520,000, respectively, and fair values of \$180,000 and \$730,000, respectively. At what value will the buildings be recorded by Ajora?
- A. \$730,000
 - B. \$520,000
 - C. \$210,000
 - D. \$0

Answer A

55. On January 1, 2023, Dicha Corp. purchased 80% of Areka Corp.'s \$10 par common stock for \$975,000. On this date, the carrying amount of Areka's net assets was \$1,000,000. The fair values of Areka's identifiable assets and liabilities were the same as their carrying amounts except for plant assets (net), which were \$100,000 in excess of the carrying amount. For the year ended December 31, 2023, Areka had net income of \$190,000 and paid cash dividends totaling \$125,000. In the January 1, 2023, consolidated balance sheet, goodwill should be reported at
- A. \$0.
 - B. \$75,000.
 - C. \$95,000.
 - D. \$175,000.

Answer C

56. A business merger differs from a business consolidation because
- A. A merger dissolves all but one of the prior entities, but a consolidation dissolves all of the prior entities.

- B. A consolidation dissolves all but one of the prior entities, but a merger dissolves all of the prior entities.
- C. A merger is created when two entities join, but a consolidation is created when more than two entities join.
- D. A consolidation is created when two entities join, but a merger is created when more than two entities join.

Answer A

57. On January 1, 2024, Tona Co. issued 100,000 shares of its \$10 par value common stock for all of Gobe Inc.'s outstanding common stock in a purchase method. The fair value of Tona's common stock was \$19 per share. The book and fair market values of Gobe assets and liabilities were as follows:

	<u>Book Value</u>	<u>Market Value</u>
Cash.....	\$240,000	\$240,000
Receivables.....	270,000	270,000
Inventory.....	435,000	405,000
Property and plant.....	1,305,000	1,440,000
Liabilities.....	<u>(525,000)</u>	<u>(525,000)</u>
Net assets.....	<u>\$1,725,000</u>	<u>\$1,830,000</u>

What is the amount of goodwill resulting from the business combination?

- A. \$175,000.
- B. \$105,000.
- C. \$70,000.
- D. \$0.

Answer C

58. Business combination in which the acquiring company obtains a substantial amount or all of the voting stock of one or more acquired companies?

- A. Stock Acquisition
- B. Statutory Consolidation
- C. Amalgamation
- D. Statutory Merger

Answer A

59. On December 31, 2023, Sana Corporation was merged into the Motlomi Corporation. In the business combination, Motolomi issued 200,000 of its \$10 par common stock, with a market value of \$18 per share, for all of Sana's common stock. The stockholders' equity section of each company's balance sheet immediately before the combination was as follows:

	<u>Motlomi</u>	<u>Sana</u>
Common stock.....	\$3,000,000	\$1,500,000
Additional paid-in capital.....	1,300,000	150,000
Retained earnings.....	<u>2,500,000</u>	<u>2,500,000</u>
Total	<u>\$6,800,000</u>	<u>\$4,150,000</u>

Assume that the merger considered a purchase. In the December 31, 2023 consolidated balance sheet, additional paid-in capital should be reported at

- A. \$950,000.
- B. \$1,300,000.

C. \$1,450,000.

D. \$2,900,000.

Answer D

60. Ownership of 51% of the outstanding voting common stock of a company would usually result in

- A. The use of the cost method.
- B. The use of the lower of cost or market method.
- C. The use of the equity method for financial reporting.
- D. Consolidation of the subsidiary.

Answer D

61. In which of the following type of business combination Boards of directors of both companies negotiate terms of proposed combination?

- A. Friendly Combination
- B. Unfriendly Combinations
- C. Hostile Combination
- D. Horizontal Integration

Answer A

62. Firew Company acquired the net assets of Altaye Company during 2022. The purchase price was \$650,000. On the date of the transaction, Altaye had \$200,000 in liabilities. The fair value of Altaye's assets on the acquisition date were as follows:

Current assets.....	\$600,000
Noncurrent assets.....	<u>400,000</u>
	\$1,000,000

How should Firew account for the difference if any, between the fair values of the assets acquired and the cost?

- A. Retained earnings should be reduced by \$150,000.
- B. Current assets should be recorded at \$510,000 and noncurrent assets recorded at \$340,000.
- C. The noncurrent assets should be recorded at \$250,000.
- D. A debit to Good will for \$150,000

Answer C

63. The following information pertains to the Duggan Corporation:

Beginning work-in-process inventory \$ 20,000
Ending work-in-process inventory 23,000
Beginning finished goods inventory 36,000
Ending finished goods inventory 34,000
Cost of goods manufactured 246,000

What is cost of goods sold?

- A. \$244,000
- B. \$248,000
- C. \$243,000
- D. \$249,000

Answer B

64. Manufacturing costs typically consist of:

- A. Direct materials, direct labor, and manufacturing overhead.

- B. Production and shipping costs.
- C. Production and marketing costs.
- D. Direct materials, direct labor, and administrative costs.

Answer A

65. In job order costing, how are costs for direct materials tracked?

- A. Using a time card
- B. Through a job-cost sheet
- C. Using a materials requisition form
- D. By departmental analysis

Answer C

66. In which costing method are all manufacturing costs inventoried?

- A. Variable costing
- B. Absorption costing
- C. Job order costing
- D. Process costing

Answer B

67. What is the main distinction between absorption costing and variable costing?

- A. Treatment of fixed overhead costs
- B. Method of tracking direct costs
- C. Use of job-cost sheets
- D. Application of predetermined rates

Answer A

68. What is a significant difference between job costing and process costing?

- A. Job costing averages costs over all units.
- B. Process costing works on individual jobs.
- C. Job costing accumulates costs by department.
- D. Process costing assigns costs based on total production.

Answer D

69. If a company has an ending work-in-process inventory of 200 units that are 50% complete, how many equivalent units are there for conversion costs?

- A. 100
- B. 200
- C. 50
- D. 400

Answer A

70. At which point do products in a joint process become separately identifiable?

- A. Production start
- B. Split-off point
- C. Sales point
- D. End of production

Answer B

71. If a company sells a by-product at the split-off point, how is it treated in joint cost allocation?

- A. It is ignored
- B. It is included in joint costs
- C. It reduces the total joint costs
- D. It is considered a main product

Answer C

72. Stewart Company's actual manufacturing overhead is \$2,800,000. Overhead is allocated on the basis of direct labor hours. The direct labor hours were 50,000 for the period. What is the manufacturing overhead rate?

- A. \$47.00
- B. \$56.00
- C. \$75.00
- D. 65.00

Answer B

73. What factor most often drives joint cost allocation?

- A. Performance evaluation
- B. Manager compensation

C. Selling prices

D. Simplicity of the method

Answer C

74. Grandma's Baskets Company expects to manufacture and sell 50,000 baskets in 2022 for \$5 each. There are 4,000 baskets in beginning finished goods inventory with target ending inventory of 4,000 baskets. The company keeps no work-in-process inventory.

What amount of sales revenue will be reported on the 2022 budgeted income statement?

A. \$246,000

C. \$254,000

B. \$250,000

D. \$258,000

Answer B

Answer the following questions using the information below:

Bowden Corporation used the following data to evaluate their current operating system. The company sells items for \$20 each and used a budgeted selling price of \$20 per unit.

Actual Budgeted

Units sold	46,000 units	45,000 units
Variable costs	\$225,400	\$216,000
Fixed costs	\$47,500	\$50,000

75. What is the static-budget variance of revenues?

A. \$20,000 favorable

C. \$2,000 favorable

B. \$20,000 unfavorable

D. \$2,000 unfavorable

Answer A

76. Three major influences on pricing decisions are:

A. Competition, costs, and customers

B. Competition, demand, and production efficiency

C. Continuous improvement, customer satisfaction, and supply

D. Variable costs, fixed costs, and mixed costs

Answer A

77. X Company uses activity-based costing for Product B and Product D. The total estimated overhead cost for the parts administration activity pool was \$550,000 and the expected activity was 2000 part types. If Product D requires 1200 part types, the amount of overhead allocated to product D for parts administration would be:

A. \$275,000

C. \$330,000

B. \$300,000

D. \$345,000

Answer C

78. Accrual accounting depicts the effects of transactions and other events and circumstances on a reporting entity's economic resources and claims in the periods in which those effects occur, even if the resulting cash receipts and payments occur in a different period. Which of the following is not depictive of accrual accounting?

A. Recognition of pension liability

B. Recognition of sale upon delivery of inventories to a consignee

C. Recognition of expense upon receipt of services from a lawyer

D. The use of the straight-line method in accounting for lease income

Answer B

79. An investment property shall be measured initially at its _____.

- A. Cost
- B. Fair value
- C. Deemed cost
- D. Value in use

Answer A

80. A non-current asset held for sale should be measured at:

- A. The lower of the asset's carrying amount when originally classified as held for sale and its fair value less costs to sell
- B. The higher of the asset's carrying amount when originally classified as held for sale and its fair value less costs to sell
- C. The asset's carrying amount when originally classified as held for sale, less any accumulated depreciation since that date
- D. Fair value less costs to sell

Answer A

81. On December 31, 2008 Kean Company changed its method of accounting for inventory from weighted average cost method to the FIFO method. This change caused the 2008 beginning inventory to increase by ETB 420,000. The cumulative effect of this accounting change to be reported for the year ended 12/31/08, assuming a 40% tax rate, is

- A. ETB 420,000
- B. ETB 252,000
- C. ETB 168,000
- D. ETB 0

Answer B

82. Equipment was purchased at the beginning of 2005 for ETB 204,000. At the time of its purchase, the equipment was estimated to have a useful life of six years and a salvage value of ETB 24,000. The equipment was depreciated using the straight-line method of depreciation through 2008. At the beginning of 2008, the estimate of useful life was revised to a total life of eight years and the expected salvage value was changed to ETB 15,000. The amount to be recorded for depreciation for 2008, reflecting these changes in estimates, is

- A. ETB 12,375
- B. ETB 19,800
- C. ETB 22,800
- D. ETB 23,625

Answer A

83. Which of the following terms is associated with recognizing a provision?

- A. Possible
- B. Likely
- C. Remote
- D. Probable

Answer A

84. Sodium Inc. borrowed ETB175,000 on April 1. The note requires interest at 12% and principal to be paid in one year. How much interest is recognized for the period from April 1 to December 31?

- A. ETB 0
- B. ETB 21,000
- C. ETB 5,250
- D. ETB 15,750

Answer D

85. A deductible temporary difference is expected to lead to the payment of:

- A. Less tax in the future and gives rise to a deferred tax liability
- B. Less tax in the future and gives rise to a deferred asset
- C. More tax in the future and gives rise to a deferred tax liability
- D. More tax in the future and gives rise to a deferred tax asset

Answer B

86. Grapes, after harvest, will need significant time before it can be sold as wine. This product should be accounted for in accordance with

- A. IAS 2 B. IAS 16 C. IAS 40 D. IAS 41

Answer D

87. Dolphins, which are used for recreational purposes in water parks, should be classified in accordance with

- A. IAS 41 B. IAS 16 C. IAS 40 D. IAS 2

Answer B

88. On 1 July 2019, a company which prepares financial statements to 30 June each year enters into a 4-year lease of property. The company is required to make four lease payments of ETB10,000 each. These payments fall due on 30 June 2020, 2021, 2022 and 2023. The rate of interest implicit in the lease is 9.75% per annum. The interest expense for the year to 30 June 2021 is:

- A. ETB3,106 C. ETB975
B. ETB2,434 D. ETB1,697

Answer A

89. What is the primary purpose of an audit?

- A. To detect fraud C. To prepare financial statements
B. To provide assurance on financial statements D. To assess internal controls

Answer: B

90. Which document outlines the objectives and scope of an audit?

- A. Audit report C. Management letter
B. Engagement letter D. Internal control checklist

Answer: B

91. What is a material misstatement?

- A. A minor error in financial statements
B. An error that could influence the economic decisions of users
C. A deliberate misrepresentation of facts
D. A discrepancy found during internal audits

Answer: B

92. Which of the following is a limitation of an audit?

- A. Auditors can only provide reasonable assurance
B. Auditors are responsible for fraud detection
C. Auditors can guarantee accuracy
D. Auditors must review all transactions

Answer: A

93. What is the primary focus of a compliance audit?

- A. Ensuring financial statements are accurate
B. Assessing adherence to laws and regulations
C. Evaluating operational efficiency D. Testing internal controls

Answer: B

94. Which type of audit report indicates that the financial statements present a true and fair view?

- A. Adverse opinion
- B. Qualified opinion
- C. Unmodified opinion
- D. Disclaimer of opinion

Answer: C

95. What is the significance of the auditor's independence?

- A. It ensures the auditor can charge higher fees
- B. It allows the auditor to work with management directly
- C. It enhances the credibility of the audit opinion
- D. It decreases the need for audit documentation

Answer: C

96. Two assertions for which confirmation of accounts receivable balances provides primary evidence are

- A. Completeness and valuation.
- B. Valuation, rights and obligations.
- C. Rights & Obligations and existence.
- D. Existence and completeness.

Answer: C

97. Which of the following statements about deferred tax liabilities is true?

- A. They are recognized for all taxable temporary differences.
- B. They are recognized only for deductible temporary differences.
- C. They do not impact profit or loss until realized.
- D. They are always classified as current liabilities.

Answer: A

98. Under IAS 12, how should an entity recognize a tax expense?

- A. Only when taxes are paid.
- B. Based on the taxable profit for the period.
- C. Based on the accounting profit adjusted for tax rates.
- D. Only when there is a change in tax law.

Answer: B

99. What is a significant change introduced by IFRS 17 compared to IFRS 4?

- A. It eliminates the need for insurance liabilities.
- B. It requires the unbundling of components of insurance contracts.
- C. It mandates all insurance contracts to be measured at fair value.
- D. It increases the reporting frequency for insurance companies.

Answer: B

100. Under IFRS 17, when should an insurance company recognize revenue?

- A. When premiums are received
- B. As the insurer provides services under the contract
- C. At the end of the contract term
- D. Only when claims are settled

Answer: B